COULD A PE FUND TAKE DOMINO'S PRIVATE?

Domino's Pizza Group plc (LSE: DOM)

A five-year leveraged buyout & investment committee case

INDEPENDENT | FINANCIAL MODELLING PORTFOLIO | NOVEMBER 2026

Investment conclusion

Under a 30% takeover premium, the model does not clear a 20% gross sponsor IRR hurdle.

Acquisition EV	Sponsor equity	Gross MOIC	Gross sponsor IRR
£1445.9m	£1083.5m	1.44x	7.5%
10.6x LTM EBITDA	3.0x initial senior debt	Five-year hold	Target hurdle: 20%

RECOMMENDATION

Do not proceed at the illustrative 30% premium.

Business profile

Domino's Pizza Group plc is the UK & Ireland master franchise operator, not US-listed DPZ.

Reported revenue FY2025

£685.4m

+3.1% versus FY2024

Underlying EBITDA FY2025

£133.9m

-6.6% year on year

Network at FY2025

1,399

UK & Ireland stores

Economic model

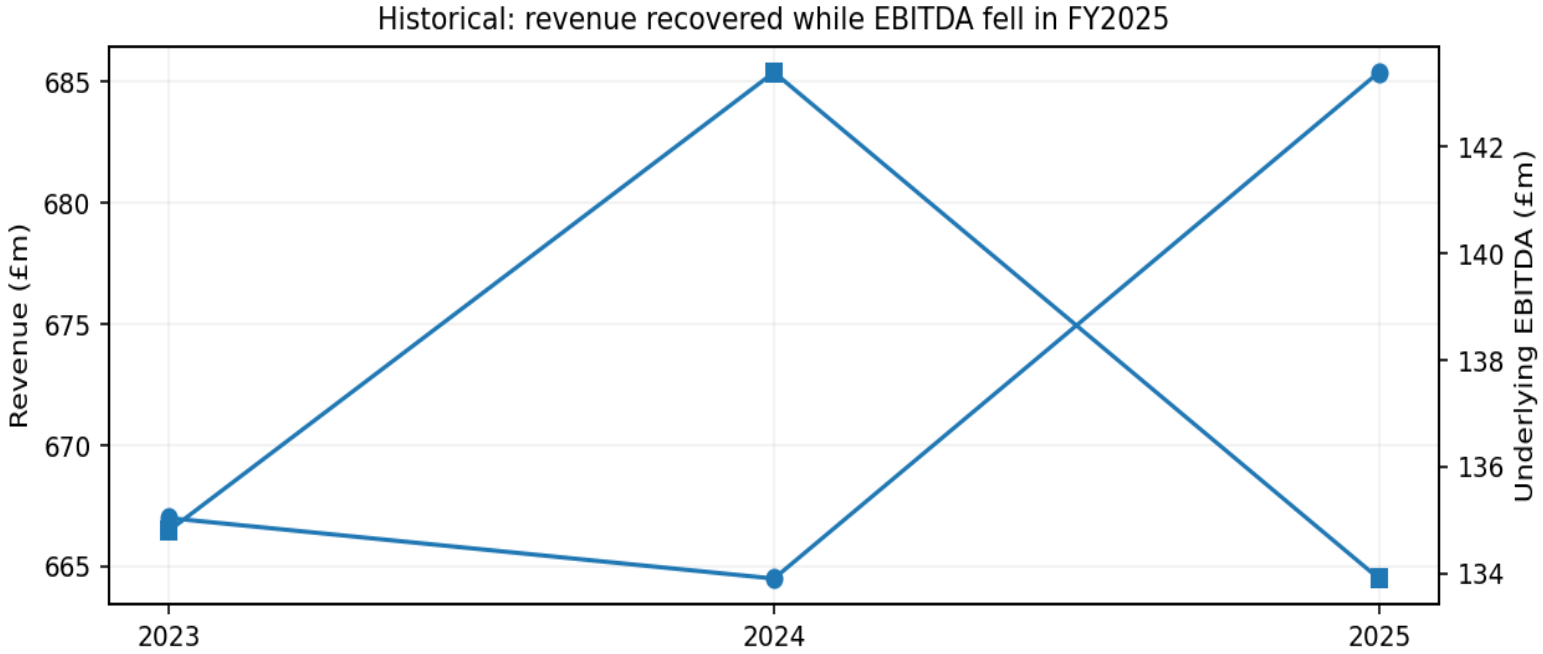
Franchise network, royalties, supply chain and operational support.

Competitive position

Large home-market pizza share, with digital engagement and loyalty rollout.

Historic performance

Revenue held up in FY2025, but adjusted EBITDA contracted.



2025 METRICS

19.5%

EBITDA margin

£80.7m

Company-defined FCF

Interim trading and 2026 bridge

H1 financial results plus Q3 trading commentary inform the acquisition underwriting.

H1 indicator	2025	2026	Change
Revenue	£331.5m	£353.6m	+6.7%
Underlying EBITDA	£63.9m	£66.2m	+3.6%
Company-defined FCF	£25.7m	£47.9m	+86%
Net debt	£306.6m	£290.1m	-£16.5m

LTM EBITDA = FY25 £133.9m + H1 2026 £66.2m - H1 2025 £63.9m = £136.2m

Entry valuation

Offer premium is hypothetical; share count and undisturbed price are verified.

Equity-to-enterprise bridge	Base case
6 Nov share price	231p
Shares outstanding	384.869m
Market equity value	£889.0m
Takeover premium	30%
Acquisition equity	£1,155.8m
H1 net debt	£290.1m
Acquisition EV	£1,445.9m
Entry EV / EBITDA	10.6x

Financing Sources & Uses

Cash equity is the financing plug after new debt and target cash.

Uses of funds	GBP m
Purchase shareholder equity	1,155.8
Refinance debt	299.7
Transaction fees + financing fees	31.3
Closing minimum cash	15.0
TOTAL	1,501.8

Sources of funds	GBP m
New senior loan (3x EBITDA)	408.6
Target cash deployed	9.6
Sponsor cash equity	1,083.5
TOTAL	1,501.8

Commercial debt terms are illustrative and uncommitted.

Five-year operating plan

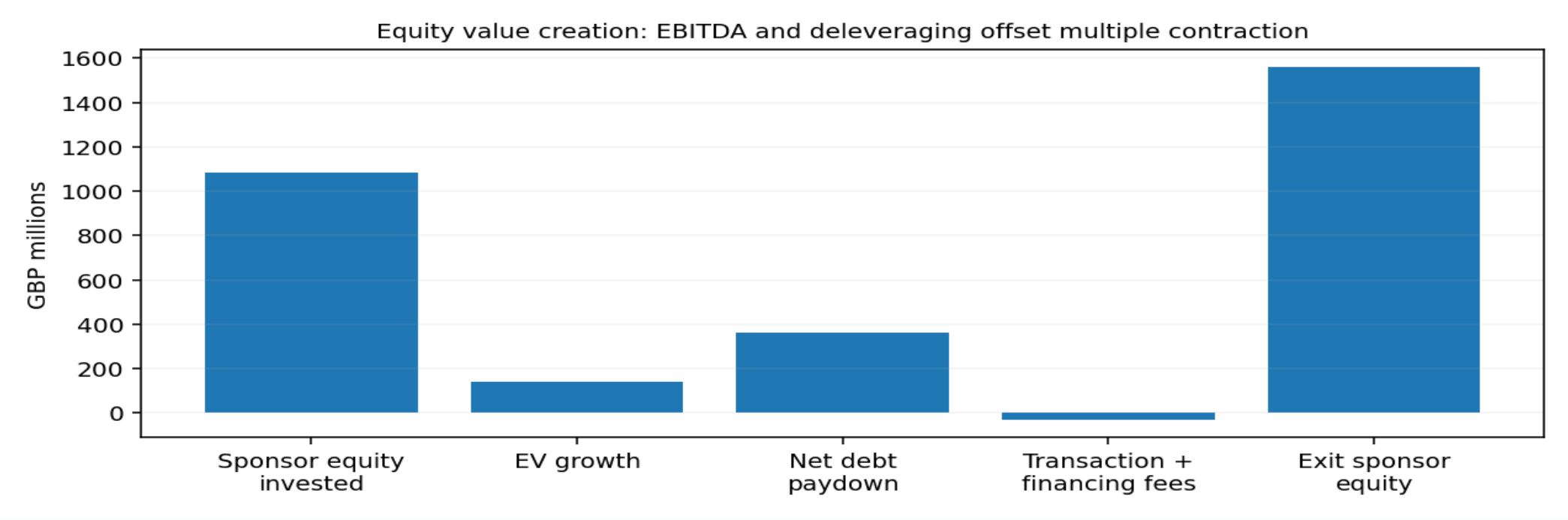
Scenario-based revenue growth, margin recovery and cash conversion drive value.

Assumption	Bear	Base	Bull
Annual revenue growth	1.0%	3.5%	6.0%
FY2031 EBITDA margin	18.0%	21.0%	23.0%
Capex / revenue	3.5%	3.5%	3.5%
Cash interest	7.5%	7.5%	7.5%
Exit EV / EBITDA	9.0x	9.0x	9.0x

Growth levers: loyalty frequency • supply chain throughput • Irish network opportunity • tighter capital allocation

Debt repayment mechanics

A 1% mandatory amortisation plus 80% excess-cash sweep governs debt paydown.



Closing net debt in FY2031: £30.8m | Cash generated is applied to debt reduction or retained.

Sponsor return case

Under the selected base assumptions: 1.44x MOIC and 7.5% five-year gross IRR.

FY2031 EBITDA

£176.5m

21.0% target margin

Exit enterprise value

£1588.1m

9.0x EBITDA exit

Exit sponsor proceeds

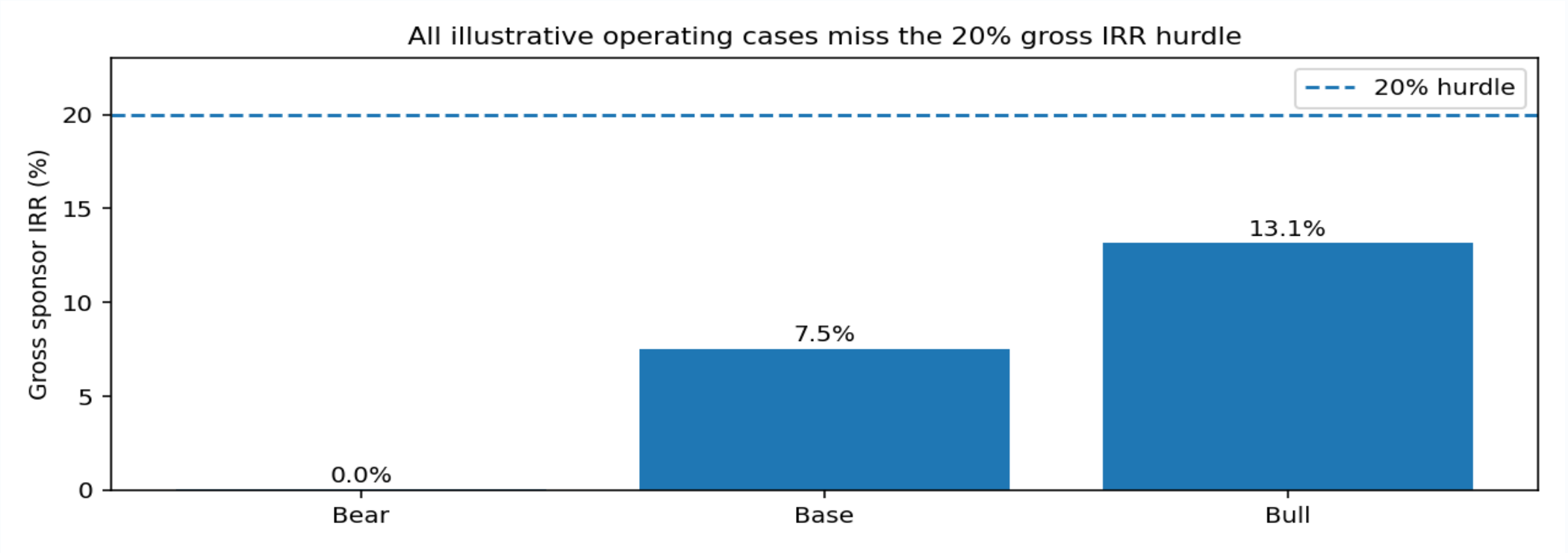
£1557.4m

Net debt deducted

MOIC = £1,557.4m / £1,083.5m = 1.44x | IRR = 1.44x^(1/5) – 1 = 7.5%

Operating downside matters

Independent cash and debt roll-forwards recalculate each operating case.



Maximum defensible equity bid

Reverse-solve the sponsor equity cheque for required returns.

Target gross IRR	Maximum offer equity value	Value per issued share
15%	£852.6m	£2.22
20%	£707.1m	£1.84
25%	£593.8m	£1.54

20% hurdle price is below the unaffected £2.31 market share price.

Diligence and model limitations

These underwriting risks must be resolved before any genuine investment proposal.

Franchise rights	Change-of-control and renewal conditions are not diligenced.
Capital structure	£200m PP note maturities July 2027; lender terms may constrain leverage.
IFRS 16	Gross lease obligations must be matched with corresponding receivables and EBITDA.
Data cut-off	Nov 2026 share price, H1 balance and Q3 qualitative trading data.
Model assumptions	7.5% coupon, 30% premium, 9.0x exit are hypotheses.

Conclusion and supporting files

Independent educational analysis; not a takeover offer or recommendation to trade securities.

DO NOT PROCEED AT THE 30% PREMIUM

Model

13+ worksheets with audited historical figures, cash sweeps, sensitivities and checks.

Deliverables

PDF committee memo, Spanish learning guide, LinkedIn carousel and README.

Sources: UK FY2025 Annual Report | H1 2026 RNS | Q3 2026 RNS | LSE 6 Nov close | LSE Voting Rights